

Final Investment Recommendation:

Based on a comprehensive review of both fundamental and technical analysis, I am giving a final recommendation to HOLD McDonald's (MCD).

The fundamental analysis gives mixed signals with constant, non-constant growth, and H models yielding a price in the \$225-280 range below current market price. This divergence highlights the sensitivity of valuation models to different inputs and establishes a more conservative range of potential value. The rest of the fundamental analysis models signal a strong buy for MCD, with all of them producing valuations above the current market price by \$18 or more. The FCF model accounts for the firm's broader cash-generating ability, which yields a much more aggressive valuation of \$430.66. When compared to current price of \$308.85 the FCF model signals significant potential upside in purchasing shares.

The technical indicators are predominantly bearish. Through my use of the Bloomberg Terminal, I evaluate MCD using several technical indicators. Using the Bloomberg Terminal tools, I see evidence of the head-and-shoulders pattern, a definitive sell signal. Other methods such as price-channel analysis, moving averages, and Bollinger Bands also signal a strong sell and bearish sentiment of MCD. Even though MCD has broken below the 50% Fibonacci retracement level, the stock is testing the critical 61.8% Fibonacci retracement level. If the level holds, the stock price could bounce back but a break below the 61.8% level could confirm a trend reversal.

Macroeconomic and geopolitical uncertainty also influences my final recommendation. Elevated market volatility is creating additional short-term risk that is not fully captured by the valuation models. Given the conflicting fundamental and technical signals, I view a HOLD recommendation as the most appropriate position until market conditions become more stable.